Introduction to Medicare Savings Programs (MSP)	Number	Page
	05.13.01	1 of 1

Revision Date:
May 1, 2025

Background:
Medicare Savings Programs (MSP) were mandated by the Medicare Catastrophic Coverage Act of 1988 and implemented in California on January 1, 1990. The programs include Qualified Medicare Beneficiary (QMB), Specified Low-Income Medicare Beneficiary (SLMB), Qualifying Individual (QI), and Qualified Disabled and Working Individual (QDWI) programs. The benefits of each are explained in the associated sections.

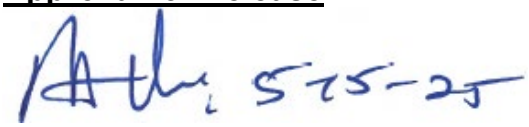
Purpose:
This section was reformatted and updated to remove references to property as resources are no longer considered when determining eligibility. The update also relays that QMB cases for those receiving Supplemental Security Income or State Supplementary Payments (SSI/SSP) are now handled by the Department of Health Care Services (DHCS).

Policy:
The following sections describe MSP regulations and include instructions for determining eligibility to these programs.

References:
ACWDLs 89-90, 00-55 and 24-20
MEDIL I 23-04

Sunset Date:
This policy will be reviewed for continuance by April 30, 2028.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services

Medicare Benefit Explanation	Number	Page
	05.13.02	1 of 2

Revision Date:
May 1, 2025

Background:
This section provides an explanation of Medicare benefits and the Medicare application requirements.

Purpose:
This section was revised for sunset review.

Policy:
A. Scope of Benefits
Medicare Part A hospital insurance includes inpatient hospital care, medically necessary (not custodial) inpatient care in a skilled nursing facility, home health care, and hospice care.

Medicare Part B medical insurance includes doctor's services, outpatient hospital care, diagnostic tests, durable medical equipment, ambulance service, and many other health services and supplies.

B. Deductibles and Coinsurance
Both Medicare Part A and Part B have deductibles and coinsurance. A deductible must be paid in advance before Medicare will make any payments for services. Coinsurance is a 20% charge to the beneficiary for the service.

C. Medicare Part A Enrollment
Costs
Most Medicare beneficiaries are eligible to receive Part A insurance at no cost however, those who do not qualify for free Part A solely because they lack the required number of quarters of Social Security Administration (SSA) covered employment, may purchase Part A with a premium. Medi-Cal will pay this monthly Part A premium for Qualified Medicare Beneficiaries (QMB) who are not qualified for free Part A benefits.

Enrollment Period
If an individual is not already receiving Part A, they can only apply at one of the following times:
1. During the initial enrollment period which begins 3 months prior to age 65 and ends 3 months after the individual's 65th birthday
2. After 24 months of receiving Title II disability benefits
3. The month after a person stops working, if over 65 years old
4. When receiving dialysis related health care services
5. During the general enrollment period of January-March, to be effective the following July for those who do not enroll when they are initially eligible as indicated in 1 through 4 above

Penalties
An individual who does not apply for Part A at the first opportunity is charged a penalty by the SSA. Under the QMB program, the state will pay the penalty for a Medicare beneficiary's late Part A enrollment.

D. Medicare Part B Enrollment

Costs

Part B can only be received if purchased. In addition, there is a Part B annual deductible and coinsurance charge since Medicare will only pay 80% of the approved Medicare rate.

Enrollment Period

Those not on Medi-Cal Buy-In for Part B have the same enrollment period as for Part A.

For QMB-only and those already on Medi-Cal Buy-In, the initial and general periods of enrollment are waived, and eligibility will begin at the time of approval.

Penalties

There is a penalty for late enrollment in Part B similar to late enrollment for Part A; however, under the Buy-In agreement, the state is not charged a penalty for those Medicare beneficiaries who enroll late in Part B.

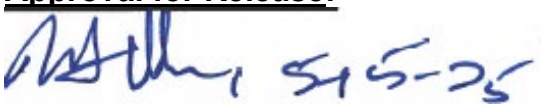
References:

ACWDL 91-46
MEDIL I 23-20

Sunset Date:

This policy will be reviewed for continuance by April 30, 2028.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services

Qualified Medicare Beneficiaries (QMB)	Number	Page
	05.13.03	1 of 3

Revision Date:
May 1, 2025

Background:
The Qualified Medicare Beneficiary (QMB) program benefits customers who will have their Medicare premiums, deductibles, and coinsurance fees paid for by Medi-Cal. Recipients will also receive some drug cost sharing benefits.

Purpose:
This section was reformatted and updated to remove property references as resources are no longer considered when determining eligibility. The update also relays that Supplemental Security Income/ State Supplementary Payment (SSI/SSP) QMBs are now handled by the Department of Health Care Services (DHCS).

Policy:
There are two groups of QMBs:

- Those eligible as QMB only who do not want Non-Modified Adjusted Gross Income (MAGI) Medi-Cal
- Individuals who receive full-scope coverage through SSI, CalWORKs or Non-MAGI Medi-Cal and meet the QMB income requirement (dually eligible)

A. Federal Financial Participation (FFP)
FFP allows the state to receive federal grants to help with Medi-Cal. FFP will be paid for individuals who are eligible for the QMB Program. Thus, it is to the state's advantage to enroll individuals with Part A at no cost in QMB, if eligible.

Medi-Cal applications and redeterminations must be reviewed for QMB eligibility. If no QMB eligibility exists, complete a review for SLMB and/or QI.

B. Benefits to QMB Eligible Individuals
QMB Only
Most QMB only applicants receive Part A at no cost and will be applying for Medi-Cal to pay their Part B premiums along with their Part A and Part B coinsurance and deductibles. The QMB benefit for them is an increase in monthly spendable income. The few who pay for Part A will experience an even larger increase in spendable income.

Those who are eligible as a QMB-only will be reported to the Medi-Cal Data Eligibility System (MEDS) as aid code 80. Their Medi-Cal eligibility will indicate that they are limited to Medicare deductibles and coinsurance benefits.

Dual Eligible Individuals
Dual eligible individuals are those who receive regular Medi-Cal benefits and are also eligible for QMB. Individuals who are receiving regular Medi-Cal and also receive Part A at no cost will not benefit by receiving QMB since Medi-Cal already pays their Part B premiums as well as their Part A and Part B coinsurance and deductibles (Buy-In). Medi-Cal customers who pay a monthly Part A

premium will benefit in increased spendable income from Medi-Cal paying their Part A premiums. The state will benefit by receiving FFP for these QMB recipients.

Medi-Cal customers who enroll in Part A as a QMB may have a wider choice of providers since they may use a hospital that accepts Medicare rather than being limited to a Medi-Cal contracted hospital.

For dual eligible cases with an existing County case, the California Statewide Automated Welfare System (CalSAWS) will indicate QMB eligibility in the case. Those with dual eligibility will show their current Medi-Cal aid code in MEDS with aid code 80 in one of the special program segments.

C. Application Processing
Form MC 14A is used for QMB however, an applicant who completes a Single Streamlined Application or SAWS 2 PLUS to apply for Medi-Cal does not need to complete an MC 14A to be evaluated for the program. Form MC 219 Important Information for Persons Requesting Medi-Cal must be provided to the applicant.

SSI/SSP Applicants
The DHCS will automatically enroll SSI/SSP recipients who are eligible to free Medicare Part A into the QMB program and maintain ongoing eligibility.

D. Eligibility Criteria
Income Limit
The individual's net non-exempt income must not exceed 100% of the Federal Poverty Level (FPL). P.

Budget Process for Non-SSI Recipients
Use Medi-Cal income methodology except for the following:
- Deductions for health insurance and Medicare premiums are not allowed
- Deductions for Impairment Related Work Expenses (IRWE) are allowed (MPG 10.06.03N)
- Use actual non-apportioned income

Budget Process for Non-SSI Recipients with Family Members (SSI Income Methodology)
If ineligibility results after using Medi-Cal methodology for those with family members, determine the net non-exempt income following SSI income methodology which includes deductions not allowed under Medi-Cal.

SSI income methodology allows the ineligible spouse of a QMB applicant to reduce their gross non-exempt income by allocating income to ineligible minor children who are 18 years or younger and reside with the applicant. This is known as the "Standard QMB Allocation". If the remaining income of the ineligible spouse is less than the Standard QMB Allocation amount, the income is exempt.

E. Beginning Date of Aid
For Part A recipients, the effective date of eligibility for QMB benefits is the first day of the month following the date which the county makes the determination of eligibility.

For those applicants who are required to enroll in Part A during the general enrollment period of January through March, QMB benefits will be effective the month after MEDS reflects Medi-Cal eligibility and Medicare entitlement.There is no retroactive QMB eligibility.

F. Redetermination
For QMB only customers, the period of eligibility will be one year. Use form MC 14A for the mail-in redetermination.

For dual eligible individuals, make the redetermination of QMB eligibility concurrently with the Medi-Cal redetermination.

G. Reinstating Eligibility Due to Administrative Error
When a QMB case is erroneously discontinued through no fault of the customer, the error is considered administrative and must be corrected. Reinstate eligibility for past months when a beneficiary was eligible and should have been covered.

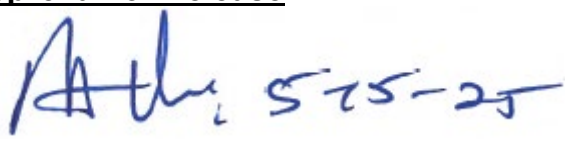
1. For Medi-Cal to retroactively pay for all premiums in arrears, reinstate QMB eligibility on the MEDS Special Program Screen using aid code 80 effective the date on which QMB eligibility was erroneously discontinued.
2. Once continuous QMB eligibility is entered into MEDS, the State's Medicare Buy-In system will process a Part A Buy-In transaction. This transaction will generate Part A and Part B coverage and pay SSA for all past premiums.
3. If the Part A Buy-In transaction does not process correctly, submit a Medicare Buy-In Problem Report online to the DHCS Medicare Buy-In Unit. See Medi-Cal Processing Guide 38 Medicare Buy-In Problem Report.

CalSAWS and MEDS must reflect the same correct information or there will be reconciliation issues. If the QMB program is not properly reflected in CalSAWS, it must be added effective the month of erroneous discontinuance.

<u>References</u>:
ACWDLs 99-43, 99-61, 03-14, 05-24 and 24-20
MEDIL I 23-04

<u>Sunset Date</u>:
This policy will be reviewed for continuance by April 30, 2028.

<u>Approval for Release</u>:



Rick Wanne, Director
Self-Sufficiency Services

Specified Low-Income Medicare Beneficiaries (SLMB)	Number	Page
	05.13.04	1 of 2

Revision Date:
May 1, 2025

Background:
The Specified Low-Income Medicare Beneficiaries (SLMB) Program was implemented January 1, 1993. A SLMB customer must be entitled to Medicare Part A and have income at or below 120 percent of the Federal Poverty Level (FPL). The SLMB Program does not pay the Part A premium or the Part B deductible or copayment.

Purpose:
This section was revised for sunset review.

Policy:
A. Scope of Benefits
SLMB pays the Part B premium only.

B. Enrollment
Enrollment may take place at any time.

C. Application
Form MC 14A is used for the SLMB however, an applicant who completes a Single Streamlined Application or SAWS 2 PLUS to apply for Medi-Cal does not need to complete an MC 14A to be evaluated for the program. A SLMB only application requires just the completion of the MC 14A. Form MC 219 Important Information for Persons Requesting Medi-Cal must be provided to the applicant.

Review Medi-Cal applications and redeterminations for SLMB eligibility. The customer must be determined ineligible to QMB before SLMB eligibility may be established. If no SLMB eligibility exists, complete a review for Qualifying Individual (QI) eligibility.

D. Retroactive Benefits
Unlike Qualified Medicare Beneficiaries (QMBs), SLMBs may have up to three months of retroactive benefits immediately preceding the month of application.

E. Aid Code
Aid code 8C is used for SLMB eligibility.

F. Redetermination
For SLMB only beneficiaries, the period of eligibility will be one year. Form MC 14A will be used for the mail-in redetermination.

For dual eligible individuals, make a redetermination of SLMB eligibility concurrently with the Medi-Cal redetermination.

References:
ACWDLs 92-61, 99-43, 99-61, 00-55, and 03-14
MEDIL I 23-04

Specified Low-Income Medicare Beneficiaries (SLMB)	Number	Page
	05.13.04	1 of 2

Sunset Date:
This policy will be reviewed for continuance by April 30, 2028.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services

Qualifying Individual (QI)	Number	Page
	05.13.05	1 of 2

Revision Date:
May 1, 2025

Background:
The Qualifying Individual (QI) program pays the full Medicare Part B premium when eligibility criteria are met. The program does not pay Part B deductibles or copayments.

Purpose:
This section was reformatted and updated to remove references to property as resources are no longer considered when determining eligibility.

Policy:
A. Application
Form MC 14A is used for the QI program however, an applicant who completes a Single Streamlined Application or SAWS 2 PLUS to apply for Medi-Cal does not need to complete an MC 14A to be evaluated for the program. Form MC 219 Important Information for Persons Requesting Medi-Cal must be provided to the applicant.

B. Eligibility Requirements
An individual must be determined ineligible to Qualified Medicare Beneficiary (QMB) and Specified Low-Income Beneficiary (SLMB) before being evaluated for the QI program. Additionally, customers who are eligible to Medi-Cal without a share of cost (SOC) or who have met their SOC, are not eligible to QI. DHCS will monitor the Medi-Cal Eligibility Data System (MEDS) and claim federal funding for QI individuals who do not meet their SOC.

Income
The net nonexempt income must be at or above 120 percent of the Federal Poverty Level (FPL) but less than 135 percent of the FPL to be eligible under the QI program. See Medi-Cal Program Guide (MPG) 11.01, Appendix A.

As with QMB and SLMB, health insurance premiums paid by the customer are not an income deduction.

F. Benefits
The QI Program pays the Medicare Part B premiums for eligible individuals.

G. Aid Code
Aid code 8D is used for QI.

H. Retroactive Benefits
Like the SLMB Program, QI may have up to three months of retroactive benefits immediately preceding the month of application.

I. Redetermination
The period of eligibility for QI beneficiaries is one year. Complete an annual redetermination concurrently with the Medi-Cal case if the beneficiary is a QI recipient eligible to Share of Cost

Medi-Cal. QI only beneficiaries use form MC 14A to complete the redetermination process.

Review all Medi-Cal applications and redeterminations for QI eligibility. Determine if the customer is ineligible to QMB/SLMB before establishing QI eligibility.

References:
ACWDLs 99-43, 99-61, and 03-14
MEDIL I 23-04

Sunset Date:
This policy will be reviewed for continuance by April 30, 2028.

Approval for Release:

5-15-25

Rick Wanne, Director
Self-Sufficiency Services

Qualified Disabled and Working Individual (QDWI)	Number	Page
	05.13.06	1 of 2

Revision Date:
May 1, 2025

Background:
The Omnibus Budget Reconciliation Act of 1989 required that the State pay for Medicare Part A premiums for individuals who lost Social Security Administration (SSA) Title II and Medicare benefits due to earned income above the required Substantial Gainful Activity (SGA) limit. Unlike the Qualified Medicare Beneficiary (QMB) Program, Medi-Cal is not required to pay coinsurance and deductibles or the Part B premium.

Purpose:
This section was reformatted and updated to remove references to property as resources are no longer considered when determining eligibility.

Policy:
A. Eligibility Requirements
A potentially eligible QDWI individual:
1. Is entitled to enroll in Part A for the disabled and working (special program 1818A) and meets the following criteria:
   - Is under age 65
   - Has been entitled to disability insurance benefits under Title II
   - Lost SSA Title II benefits due to earnings exceeding the SGA limits
   - Continues to have a disabling physical or mental condition
   - Is not otherwise entitled to Medicare
2. Has net nonexempt income at or below 200% of the Federal Poverty Level (FPL) as determined using SSI methodology
3. Must meet all other non-financial Medi-Cal eligibility requirements
4. Is not eligible to Medi-Cal

B. Aid Code
Aid code 29 is used for QDWI.

C. Retroactive Benefits
Retroactive QDWI benefits for three months before the month of application are permitted if the individual is entitled to Part A benefits in those retroactive months.

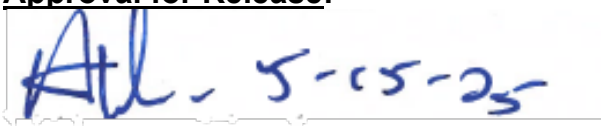
D. Social Security Administration (SSA) Determination
SSA notifies individuals when they become potentially eligible for this program. SSA will determine if an customer meets the eligibility requirements above before referring them to apply.

E. Benefits Provided Under the QDWI Program
Medi-Cal will pay the Part A premium for individuals qualified under this program. No Medi-Cal Benefit Identification Card (BIC) will be issued and the individual will continue to use their Medicare card.

References:
MEPM 5I-2
ACWDLs 90-48 and 90-101
MEDIL I 23-04

Sunset Date:
This policy will be reviewed for continuance by April 30, 2028.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services